STARDOM Ventures

Q2 2022 REVIEW

STARDOM VENTURES

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SUMMARY

- **2022 Highlights:**
  - 3 new investments with a total amount of $6M
  - 5 follow-ons investments in the amount of $6.8M
  - Fair market value: $44M
  - Gross Multiple: 1.9x
  - Net Profit H1-22: **$4.9M**

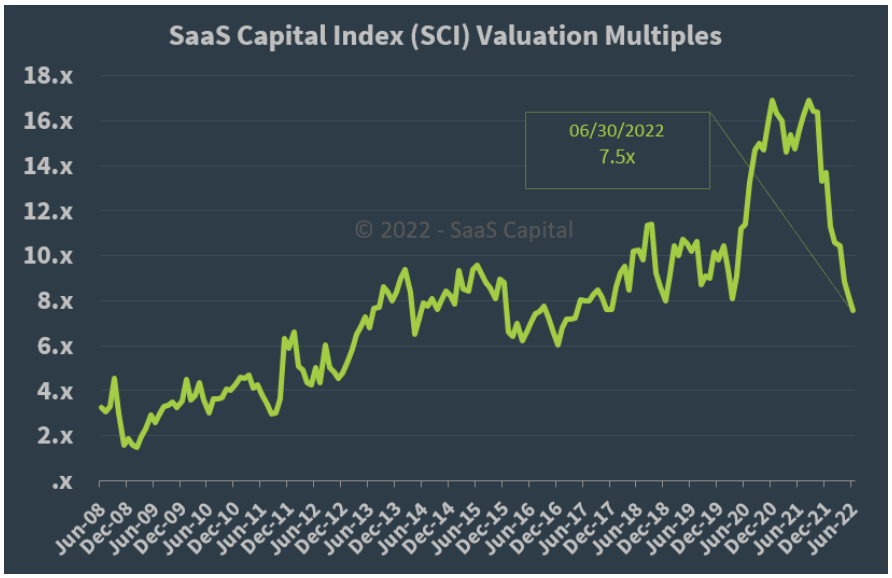
- **New investments in 2022:**
  - Treat: Treat gives pet lovers the option to co-own & treat a real dog or cat in a gamified experience that mixes gaming with real-life activism – we invested $2M at $7M pre-valuation (21%)
  - Botika: a motion transfer system able to convert any image of a person into a 3D avatar in real-time – we invested $2M as a SAFE with a Cap of $17M and a 20% discount
  - Tedooo: The first B2B social platform customized for the trade world - we invested $2M at $7.5M pre-valuation (19%)

- **Follow-On Investments in 2022:**
  - Deepdub: $896K at a $60M per money valuation
  - Flying pigs: $452K at a $20M per money valuation
  - BrandTotal: $600K as a SAFE with a Cap of $6M and a 20% discount
  - Maapilim- $750K $at a $15.8M per money valuation
  - Edge Gaming - $4.1M at a $75M per money valuation

OUR VIEW OF THE MARKET

As we stated in the previous report, the markets are currently in the midst of a shakedown, and it is still unclear whether we will soon see a recovery or if we are heading for a longer period of a bear market.

With no IPOs on the horizon, it is becoming harder to raise additional growth rounds. The immediate implication is a strong decrease in revenue multiples (down from 17.5X at the end of 2021 to 7.1X in July – See a chart below).



In addition, there is a new theme for later-stage companies and that is "the path to profitability". Companies are no longer valued by growth as a standalone parameter, but rather as a combination of growth and the ability to become profitable as soon as possible.

At Stardom, we are working closely with our portfolio companies to try and assure a sufficient runway of 24 months, as a conservative assumption for the markets to recover.

The upside of the current situation is that we also begin to see more attractive deals at lower valuations, and it provides us with better opportunities for new investments.

FINANCIALS

As of June 30, 2022

PORTFOLIO STATS

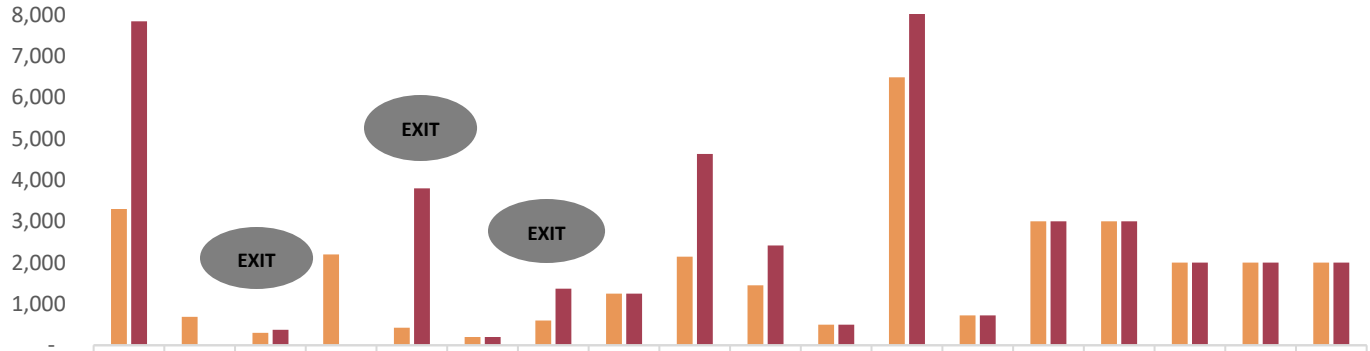
(In US thousands)

Fair market value	49,578	Number of First checks	18
Cost of portfolio companies	32,271	Avg amount of First checks	1,037
Gross Multiple (*)	1.9x	Number of Follow-ons	18
Number of exits	3	Avg amount of Follow-ons	755

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

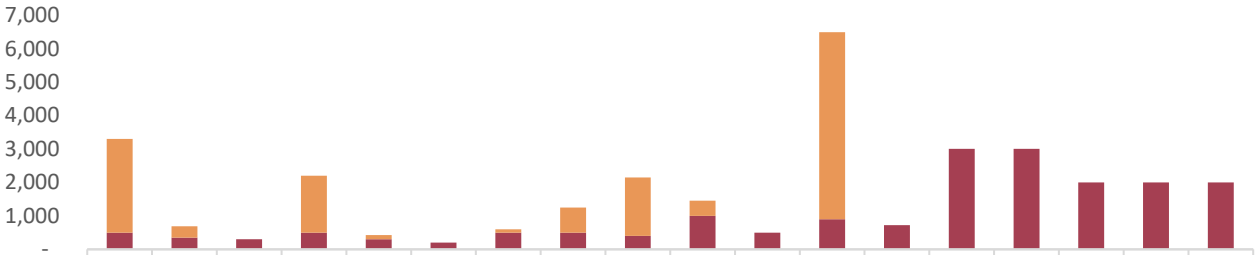
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo
FMV	7,840	-	375	-	3,800	200	1,370	1,250	4,629	2,414	500	14,475	724	3,000	3,000	2,000	2,000	2,000
Cost	3,299	690	300	2,197	425	200	600	1,250	2,146	1,453	500	6,487	724	3,000	3,000	2,000	2,000	2,000
Holding %	6.2%	Dissolved	Exit	5%	Exit	SAFE	Exit	5%	5.8%	9.7%	6%	13.8%	7.8%	15%	18.8%	21.1%	SAFE	19%
Multiple X	2.4	-	1.3	-	8.9	1	2.3	1	2.2	1.7	1	2.2	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo
Follow-on Investments	2,799	340	-	1,697	125	-	100	750	1,746	453	-	5,587	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers. The company is planning an additional round in H2-22.

UPDATE: We are currently working on a new funding deal to secure the runway for the following 24 months. The goal is that the next funding round will be the last one before the company reaches profitability.

BRANDTOTAL

ABOUT: BrandTotal uncovers and analyzes competitors' "dark" marketing efforts, illuminating their strategies and tactics by applying advanced cyber security techniques and artificial intelligence.

UPDATE: in the lawsuit against Facebook, the court decided that the company cannot continue collecting data from Facebook as it is not in the mandate of the judge to expound the law. To change this decision, the company will need to appeal to a higher court. The current plan is to appeal to a higher court but to shut down all company's activities. Therefore, we have decided to be on the safe side and write off the investment from our portfolio

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and currently working on new product ideas to increase performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: In the first quarter of 2022, the company signed an agreement with an A-listed Hollywood star to serve as the company's face. The company is now in a re-branding process and will soon relaunch as a new Lifestyle Brand.

In April 2022, the company has raised from the current investors $4.5 million in Series A funding.

Round A: $750K at $15.8M pre-valuation (6.16%)

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: In February 2022, the company raised $5 million in Seed funding led by New York-based global venture capital and private equity firm Insight Partners.

Seed Round: $452K at $20M pre-valuation (9.7%)

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: In January 2022, the company raised $20 million in Series A funding led by New York-based global venture capital and private equity firm Insight Partners.

Series A Round: $895K at $60M pre-valuation (5.8%)

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology

UPDATE: The company is planning an additional round in H2-22.

PORTFOLIO UPDATE (cont.)

NLIGHT

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: The company's app was blocked by Google and the company is evaluating other monetization paths.

EDGE GAMING

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: An alpha version was released early this year and is gaining a lot of buzz in the gaming industry. The goal for 2022 is to sign up as many publishers as possible.

In June 2022, the company raised $30 million in Series A funding led by Corner Ventures.

Series A Round: $4.13M at $75M pre-valuation (13.79%)

HUMANZ

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

UPDATE: The company is planning an additional round in H2-22.

MUUULA

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: The goal is to launch the game to the public by September 2022.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

Seed Round: $2M at $7M pre-valuation (21%)

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: As part of the momentum change in the market, and the unclear path to revenues, the company is now evaluating new directions in which it can generate substantial revenues as well as raise additional funding. The goal is to find a profitable B2B use case for the exact same avatar technology that the company has developed over the last year.

Our Investment: $2M as a SAFE with a Cap of $17M and a 20% discount

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business.

Tedooo already has users from more than 150 different countries and is growing rapidly.

Seed Round: $2M at $7.5M pre-valuation (19%)